Q2 2026 Earnings Call

Company Participants

- Kip Meintzer, IR
- Nadav Zafrir, CEO
- Roei Golan, CFO

Other Participants

- Adam Tindle, Analyst, Raymond James & Associates, Inc.
- Brian Essex, Analyst, JPMorgan Chase & Co
- Eric Heath, Analyst, KeyBanc Capital Markets Inc.
- John DiFucci, Analyst
- Joseph Gallo, Analyst, Jefferies
- Joshua Tilton, Analyst, Wolfe Research
- Junaid Siddiqui, Analyst, Truist Securities, Inc.
- Patrick Colville., Analyst, Scotiabank
- Saket Kalia, Analyst, Barclays Bank
- Shaul Eyal, Analyst, TD Cowen
- Todd Weller, Analyst, Stephens Inc.

Presentation

Operator

Greetings and welcome to the Check Point Software 2026 Second Quarter Financial Results Video Conference. Im Kippy Meintzer, Global Head of Investor Relations and joining me today our Chief Executive Officer, Nadav Zafrir and our Chief Financial Officer Roei Golan. Before, we begin, Id like to remind everyone that this conference is being recorded and will be available for replay on our website at checkpoint.com. During the formal presentation, all participants are in a listen only mode that will be followed by a Q&A session. During the presentation Check Point's representatives may make forward-looking statements. Forward-looking statements then relate to future events or future financial and/or operating performance. These statements involve risks and uncertainties that could cause actual results to differ materially from those projected in the forward-looking statement.

Any forward-looking statements made only as of the date hereof and Checkpoint Software undertakes no obligation to update publicly any forward-looking statements except where required by-law. In our press release, which has been posted on our website, we present GAAP and non-GAAP results, along with a reconciliation of such results as well as the reasons for our presentation of non-GAAP information.

If you have any questions after the call, please feel free-to contact Investor Relations by email at kip at checkpoint.com. Now I'd like to turn the call over to Nadav.

Nadav Zafrir {BIO 19195881 <GO>}

And thank you all for being us today. Our Q2 results were in-line with our expectations and we continue to make tangible progress strengthening our go-to-market organization. We're actually encouraged by improving execution and a growing sales pipeline. We expect Q3 to mark the trough followed by a stronger Q4 that supports second-half performance and we are maintaining our 2026 guidance.

As a next step, we are significantly expanding our sales capacity by hiring hundreds of additional salespeople. We've launched a focused hiring campaign, reflecting our confidence in the long-term growth opportunity. Over the past few weeks, I met with more than 1,000 security leaders at Check Point engage events in Chicago, Paris and Singapore. Their message is consistent and unmistakable. Our industry is at an inflection point.

AI, and particularly the latest frontier model is driving a collapse in scarcity of adversarial capabilities. This is democratizing and industrializing sophisticated cyber-attacks and challenging many of the assumptions that have guided cybersecurity for decades. We cannot stop AI adoption and we must prepare to defend against sophisticated attacks at unprecedented scale.

This is the time for decisive action. At Check Point, securing our customers' AI transformation means executing the fundamentals better than ever, while building the next-generation of cyber security and we must do it in parallel. The fundamentals start with prevention, powered by our cloud AI intelligence, more than 100 AI agents and telemetry for millions of enforcement points, prevention-first security is in our DNA.

But fundamentals alone are no longer enough. We must build security that operates at machine speed, learns continuously and evolves as AI evolves. And so today, I'm excited to introduce the industry's first AI network firewall. We believe AI has created a new class of network traffic and it deserved a new class of firewall. The AI network firewall gives customers visibility, control and security for prompts, agent actions and model interactions.

The AI network firewall is a part of our AI defense plane. It's a full stack AI security platform, continuously trained on our threat research and intelligence and built to protect applications, users and agents from AI-based attacks. With the release of the AI network firewall, we are embedding the AI defense planes across networks, private and public-cloud and SASE, giving network security teams control they can put in-place today.

Beyond AI demand across our emerging technologies portfolio remains healthy. Subscription revenue grew 12% year-over-year in Q2, and we continue to integrate the capabilities from our recent acquisitions across the platform, strengthening our competitive position and expanding the value we deliver to customers. We're Building momentum by expanding our go-to-market capacity and strengthening our product portfolio. The launch of our AI network firewall combined with our AI defense play reinforces Check Point's mission of securing our customers' AI transformation. We remain focused on disciplined execution, accelerating growth and delivering long-term value for our customers, our partners, employees and shareholders. And with that, I'll turn-over the call to to review the financials.

Roei Golan {BIO 23171144 <GO>}

One moment. Great. So thank you, Nadav, and thank you everyone for joining the call. As Nadav mentioned, the second-quarter was as planned with 1% growth in revenues, driven by 12% growth in subscription revenues. Our total revenues reached $674 million and were $1 million below the midpoint of our projection as a result of lower product revenues as a lower demand for firewall appliances. When we're looking on our subscription revenues, it reached $33 million and was at the midpoint of our projections. Our adjusted free-cash flow reached $161 million, $1 million above the midpoint of our projection and represent 24% of our revenues.

Our non-GAAP EPS was $2.55 per diluted share and exceeded our guidance and grew by 8% year-over-year. As mentioned, we had 1% growth in revenues, while our deferred revenues grew by 7% to $2.25 million. Our calculated billing totaled to $639 million and was similar to last year, while our current calculated billing grew by 2% to $641 million. Our remaining performance obligation grew by 7% and reached $2.55 billion. Our account RPO reached $1.6 billion and representing 4% increase compared to last year. As we indicated in the call-back in May, we had -- we expected lower product revenues, mainly as a result of our disruption affected by the changes were made in the go-to-market organization. Our product revenues declined by 14% in the second-quarter. As we are looking on the second-half of the year, we do expect to see similar trend in the 3rd-quarter with our firewall appliances. While we do see significant improvement in our pipeline and the opportunities and the qualified opportunities in Q4 as -- and we do expect to see a back to growth in-product revenues in the fourth-quarter. And when we are looking on the subscription revenues, it continued to accelerate to 12% growth this quarter, driven by the strong demand for our emerging technologies as image security and CTEMA continued to have strong demand.

When I'm looking -- when we are looking on the third-quarter, we do expect slight deacceleration in our subscription revenues as a result of -- as a result of large appliances deals that will that were pushed from Q3 to Q4 and have also an impact on our subscription line-item. As indicated, our total subscription business continued to be strong as we continue to experience strong demand for our emerging product portfolio, which remains the primary driver for our revenues growth. In the second-quarter, if we're looking on the email security, S(inaudible)ITEM and AI security, accumulated they exceeded 40% growth in ARR year-over-year, while the calculated billing from these products grew by 35% year-over-year.

Looking on our revenues by geographies, so our revenues from Europe -- from EMEA and America were 44% each for the second-quarter, while the remaining 12% came from Asia-Pacific, similar to what we had last year. When we are reviewing -- we are looking on our P&L for this quarter, so our gross profit increased from $585 million to $588 million, representing a gross margin of 87%. The slight decrease in the gross margin was explained due to higher memory costs. Our operating expenses, excluding R&D grants increased by 13%, while on constant-currency basis, our operating expenses increased by 11%. Our Q2 results include approximately $28 million of benefit from R&D grants to be received from the Israeli government.

And when we are looking on our operating expenses, net of R&D guns, we are -- there were -- the expenses were $328 million and increased by 5% year-over-year. The increase, the net interest is primarily the result of increases in our workforce and has resulted in continued investment in AI security and investment in our sales and marketing programs. And when looking on the operating income, it continues to be strong at $260 million or 39% operating margin. Our non-GAAP net income increased by 1% and reached $264 million, while our GAAP net income reached $194 million and decreased by 4% year-over-year.

Our non-GAAP EPS grew by 8% and reached $2.55, 8%, as I said, growth year-over-year, while our GAAP EPS was $1.87, a 2% increase year-over-year. Our number of fully-diluted outstanding shares for the -- for Q2 was 103.5 million shares. And while we continue to do our buyback, we expect the number of shares for the next quarter to decrease by approximately 1.5 million shares. Moving into our cash-flow and cash position. So our cash balances as of the end-of-the quarter was $4.2 billion of cash and marketable securs and deposits.

Our adjusted free-cash flow reached $161 million as planned in-line with our projections. And we also continue to do our buyback program and purchased approximately 2.5 million shares for $325 million this quarter at an average price of $131 per share. And during the quarter, the company announced also a $2 billion expansion of the company's share repurchase program. So we're going to continue to do this buyback next. And to summarize, so from one end, definitely strong demand, continued strong demand for emerging technology-led by e-mail security and CTEM that's becoming more-and-more significant to our total business.

And on the other hand, we did see, as expected, lower demand for firewall appliances this quarter. As I mentioned, we do expect similar trend to continue also in Q3, but definitely, we do see significant improvement on the appliances business in Q4 and we do expect to be back to growth in Q4 in the product revenues. And we're going to move to the guidance, to the business outlook. So first, regarding the full-year, we are not touching the full-year guidance, we are maintaining the same guidance as we gave you back-in May in the last call. Looking on the Q3 outlook, so the total revenue range is between $655million to $685 million subscription revenue between 332 to $343, non-GAAP EPS between $2.43 to $2.53 while our adjusted -- and a GAAP EPS is $0.70 less and our adjusted free-cash flow expected to be between $235 million to $265 million.

It is important to note, as I mentioned in the earlier that we do see significant DAF opportunities and deals that are being pushed from Q3 to Q -- that are expecting to be pushed from Q3 to Q4. And therefore that have an effect, a negative impact mainly on our appliances revenues. And as I said, we -- if I'm comparing to what we've seen in the pipeline for Q4 in May and now, definitely, we do see even stronger pipeline for Q4. Definitely, it's a more back-end loaded deal. It's also as a reflection of what the -- of the go-to-market that we've done, but definitely, we do see a positive sign. First, of course, with the emerging product that continue to have strong demand. And also with the appliances and the firewall, we see positive signs that we are seeing the end in Q3 in terms of the decline and going back to growth in Q4. Thank you. And we are moving to Q&A. Kip, the floor is yours. We can't hear you Kip.

Questions And Answers

A - Kip Meintzer {BIO 17934036 <GO>}

Be good probably most people appreciate that as with always please keep your question to one question for each time around. Today, to begin, we're going to have Joseph Gallo from Jefferies, followed by Patrick Colville from Scotiabank.8

Q - Joseph Gallo {BIO 18958030 <GO>}

Guys, thanks for the question. It was great to hear about the investment in sales capacity. Can you just remind us what the normal cadence of sales ramp to productivity is? I'm just trying to understand better the confidence in a 4Q rebound when hiring today would be more indicative of 2027's benefit?

A - Nadav Zafrir {BIO 19195881 <GO>}

Yeah. Thanks, Joe. The latter, right? So the impact on to sales is expected in Q1 and Q2 of 2027. So the guidance and what we're expecting for Q3 and Q4 does not take into consideration the ramp-up. The ramp-up obviously has its -- has its momentum, but it's going to take some time. However, it is very significant. For us, hiring hundreds of new frontline sellers is a major move. I don't know if you've seen it. I hope you have. We have started an aggressive campaign. So it's Not just the number, it's also the people that we're hiring and the invigorating of our sales force across the globe. It's really meaningful and it's a company-wide effort. And so what the guidance that we gave today does not take that into consideration, that is sort of preparing for a stronger 2027.

Q - Joseph Gallo {BIO 18958030 <GO>}

Thank you.

A - Kip Meintzer {BIO 17934036 <GO>}

All right. Next up Patrick Colville followed by John DiFucci.

Q - Patrick Colville. {BIO 21751352 <GO>}

I guess I wanted to ask about kind of Mithos preparedness and advanced AI preparedness. There's a lot of excitement in the market around what advanced AI means for cyber security. You kind of touched on this in your prepared remarks a little bit, but just vis-a-vis checkpoint specifically, are you seeing changes in buying patterns as a result of enterprises kind of concerned about the risks brought on by advanced AI models? And then I guess specifically like where-is that hitting the financial model? Is it the firewall layer for checkpoint? Is it the subs and any changes to sales cycles?

A - Nadav Zafrir {BIO 19195881 <GO>}

Yeah, great question. So if you zoom out, really the phenomena that we're seeing is very interesting. It's when you think about it from the attackers perspective, you want to think about it from an ROI perspective. So the way we see it is from the attackers now have access to resources on that they didn't have before. That's what we call the collapse of scarcity. They literally have access to what used to be very scarce resources.

And that's sort of what leads into the democratization and industrialization. So we're going to see more sophisticated attacks at a much higher cadence. That is happening already, but we think it's going to accelerate within the next couple of years. So when you think about the security paradigm that -- or the assumptions that we have around security, we're seeing signs that some of these assumptions and the current paradigm does not necessarily withstand the change that coming -- that's coming from the attackers. And that leads us to like in a way to really a world between two paradigms.

And so that's what I mean when I say, number-one, going back to fundamentals. This is the proactive prevention first, that's our DNA. That's where we shine and that's what our customers expect from us and we have to do everything that we have learned just much better, much faster, much more diligently. At the same time, in parallel, we have to look into the future. We have to imagine different possible futures, give them different probabilities and start simulating how the attackers are going to change. So for example, I believe, we believe that detection and response are going to be much less relevant because we're going to have to go to automatic remediation at machine speed.

And so we're making massive investments. Last year, we -- we spoke about hiring hundreds of new individuals to build the next-generation. Today, we announced the launch of the first AI network firewall integrated into our AI defense plane. And there's a whole strategy around that. Now to your question about the buyer's perspective, I think that they realize that on the one-hand, back-to-basics and at the same time, they're looking to what's next.

So I'll give you a couple of examples. I think the continuous threat exposure management based on three acquisitions that we made that is growing last quarter, we spoke about that growing at almost 100% is a part of that. Why? Because it gives you the ability to understand what's coming at you, but also creating a real pathway to understand what the real threats mean and automatically remediating that in an open platform approach. And that's why CTEM, for example, is having such success. At the same time, the reason I'm so excited about the AI network firewall is that it's also happening at the network level.

And so customers that already have our firewall can now also take advantage of the network to understand what their employees are doing, what agents are running and control that. So I really think to summarize, it's sort of a tale of two of two cities. On the one-hand, everything that we've learned, we must do better than we've ever done before. At the same time, we're creating the new technology, the new products, the new -- and I think within the next couple of years, you'll see a new paradigm emerging. And so that's sort of the story of where we are right now. I think that in some way, some of the frontier models may be hyped, but the phenomena is a phenomena cannot be overhyped.

So we're seeing it in a very tactical level in the amount of vulnerabilities that are out there and how fast we need to patch them. And so that's what we're doing today. But as we move forward, we need to change that paradigm and we're working on this in different -- in different buckets. The last one is actually running these models on our own software to make sure that we can simulate, imagine and get ahead of the curve before attackers do it all right.

A - Kip Meintzer {BIO 17934036 <GO>}

Next up is John DiFucci, followed by Brian Essex.

Q - John DiFucci {BIO 21275516 <GO>}

I sort of have a high-level question I think. I mean Check Ppoint has always been a respected technology company and a thought leader in its field. Long before the term platformization came out, I remember your predecessor talking about the Infinity platform and I know it became products too, but it was a platform. As the first time we had heard about one company working to secure an enterprise from top-to-bottom.

Even today, partners in the field acknowledge the strength of the technology at Check Point, but there seems to be a customer perception of the sort of dreaded word legacy even though your installed-base is really loyal and pretty much checkpoint diehards, I guess what is it other than hiring a lot of new go-to-market people that you think has to be done to change that perception because that's really important, that's hard. And is the issue really just not enough feet-on-the-street?

A - Nadav Zafrir {BIO 19195881 <GO>}

No, I think it goes beyond that. Not enough feet-on-the-street is one thing and that's why we started this campaign now that -- and this is a second phase of the go-to-market changes that we announced last-time. So now that we've stabilized, we're ready to add hundreds of new people-based on the new model in the organization that -- or the reorg that we announced. I think second, it's marketing, right? So we need to be louder.

I really believe that when it comes to this world that we're walking into, this world where on the one-hand, security, real security, proactive prevention has never been more important. I think that's our DNA. And I think we can provide real security-based on the current paradigm. And at the same time, our announcement of the first AI network firewall, it's a big announcement. It's taking the firewall and preparing it for the AI era, but not as a standalone to your point, but as a platform play.

And this is where integrating the AI network firewall into the AI defense plane and having the ability to look at different show points within the network, not just for observability, but also for enforcement is a huge advancement and we are seeing the demand for our AI capabilities grow very, very fast. In fact, some of the hiring that we're doing across the globe is because we just can't get to enough customers fast enough with the high-demand that we have because this is a specialized field where you need people on the specialists that can come in and do all the more technical stuff for our customers.

And when you bring all these things together, it makes us very optimistic about the future. One thing that I'll say about the platform. Yes, consolidation is important. But I think it needs to be an open platform, right? And so -- and an open platform means that we acknowledge the fact that number-one, from a -- from the approach should not be a monolithic approach, especially at the enterprise-level, that's not going to lead to resilience. Number two, whether we like it or not, a lot of our customers are going to be multi-vendor and we need to appreciate that and have their security front and center in our policy. And so with our unified management, which I think is one of the strongest features Check Point has. Within the next few months, we're going to offer our customers the ability to manage different products and different firewalls, even if there are figure competitors because because at the end-of-the day, especially in the Mythos era, we just don't have the time to take care of things one-by-one with an SLA of days and weeks. We need to be able to see what's coming. We need to be able to understand what the real impact may be. We're using our AI to do that to actually simulate the paths to the vulnerabilities that we're seeing. And then we're moving into an automatic remediation capability, whether it's patching or virtual patching or segmenting or segregation within the network. So that at the end-of-the day, we can have this real proactive prevention first mentality and at the same time, starts with a new paradigm of autonomous remediation.

Q - John DiFucci {BIO 21275516 <GO>}

By the way, that makes a ton of sense and it's truly unique that open platform to work with others and it's in the customer's best interest. I think you got to have Roy loosen up that marketing budget a little more and go out there really loud. Kip run the rocketing because he's pretty loud.

A - Nadav Zafrir {BIO 19195881 <GO>}

Yeah. No, I totally agree. I totally agree and it's -- some of it is already happening. Some of it is work-in progress. And I think we're starting to see the impact. We're starting to see that turn into the -- into the funnel. And as Rory said, we're already seeing a very strong Q4 ahead of us.

Q - John DiFucci {BIO 21275516 <GO>}

Thanks. All right.

A - Kip Meintzer {BIO 17934036 <GO>}

Thank you, John. Next up is Briant Essex with JPMorgan.

Q - Brian Essex {BIO 6993949 <GO>}

Great. Thanks, Kip, and thanks for taking the question., I want to follow-up on some of that commentary, particularly with regard to platform in your AI firewall. And I think it's great to see the innovation of the platform. I think that's another thing that we've heard customers are really focused on is the rate of innovation to kind of build that platform. Would love to know what is your vision in terms of how you see the AI firewall technology stacking up with -- against what seems to be an emerging AI gateway market? Are you targeting platforms that span -- I mean, I guess, are you thinking about expanding the platform to span across broader observability, tracing, performance optimization, cost-control features, which is one thing that I think sales are very focused on? Or do you intend to like stick towards more security and governance?It seems like maybe some of your peers are looking at things more than a consolidated broader observability and security platform, but would love to know what your focus is going-forward.

A - Nadav Zafrir {BIO 19195881 <GO>}

Yeah. So I want to start by saying that we need some, I would say humility as we try to understand where this is going. There are different possible futures in where this is going. And I think we must look at it from different perspectives. One perspective, which I spoke about at length is the attackers perspective. The second perspective is different industries and how they are adopting AI. So again, a lot of hype, but it's a process. And there's a lot of trial and error within this process of adoption of AI, whether it's sort of the bread-and-butter than all of us have already. It's the employee usage of AI on moving into independent agents that in the beginning take-over some of the human more redundant mundane day-to-day tasks, but over-time, becoming more-and-more independent and autonomous and that's where the game changes not only from the attackers perspective, but also from the attack surface.

Having said all that, our mission remains the secure AI -- securing the AI adoption journey. And the way we approach this is with our customers. And so we have a design partner program with different -- with different industries, with different verticals because health is different than finance and finance is different than energy. And energy is different than production and logistics.

For each one of them, we have to sit-down with our customers, understand where they're going-in the next couple of years, simulate what kind of new threats emerge from that and coming up with the right mechanisms to govern, to control and to secure these new capabilities so that on the one-hand, they can deploy it, but on the second, but from a different perspective, they can do it with security in mind. Now they're being very direct to your question, Brian, we are focusing on the security part.

But security is becoming much broader than just observability, observability in many ways when you think about the next the next paradigm or the emerging paradigm, doesn't really matter because going to the soccer, to the or to the VP of Engineering and giving them a list of things that may go wrong, it's not going to help them. We need to be able to autonomously remediate. And so we're building those capabilities. But at the end-of-the day, we're not looking to go beyond the security level. We think security is very broad, very deep.

We're building very deep capabilities. But when you think about of controlling this from a cost perspective, that's not that's not necessarily where we're going. Of course, when you have the observability, you can add that to it.

Q - Brian Essex {BIO 6993949 <GO>}

All right. Helpful. Thank you.

A - Kip Meintzer {BIO 17934036 <GO>}

Thanks, Brian. Next up is Todd Weller and followed by Adam Tindle.

Q - Todd Weller {BIO 1915304 <GO>}

Thanks. I'd love to get your perspectives on potential AI tailwinds for the network security business. There's different kind of angles to this. There's AI application and infrastructure deployments related to that AI data centers and then there's an angle around potentially increasing traffic volumes and spectrum requirements. So how do you think about framing those dimensions? How do you think about magnitude and timing of those opportunities? And then within your kind of core large enterprise base today, what are you seeing any of that and where do you think we are?

A - Nadav Zafrir {BIO 19195881 <GO>}

Yeah. I think that to your point about the tailwinds for security, I would look at it from -- I think there are two different aspects that are relevant to look at. The first one is how the network is a part of the overall AI defense plane. And the overall AI defense plane is on the device, it's in the cloud, it's in workloads, it's in the DevOps and the network is at the heart of that and needs to play within that. And that's why the introduction of the AI network firewall as a part on the overall AI defense plane is so important.

And I think that's going to have a meaningful on a tailwind for the industry and for Check Point specifically. And with thinking about that, it's not just about securing, it's also about managing. So our AI-driven unified management, which is becoming an open platform and allows us to manage different components and different vendors, different firewalls and connected as a platform to the continuous threat exposure management, which gives us the ability to understand on the intelligence from the outside-in, the attackers path and combining that is one aspect. The second aspect is emerging new capabilities that enterprises are building. So for example, some enterprises are of -- have already invested and some are thinking about investing in AI factories, right? So localized capabilities sort of going back on-prem, whether it's because of privacy issues or cost issues. We're also seeing a plethora of rising investments in different parts of the world regarding data sovereignty, which is another issue. And finally, very specific data centers that are going to be either for inference or for training, which require different capabilities. If you remember, a few months ago, we announced that we're working with NVIDIA to embed our firewall capability within the GPU level because in those data centers, latency is so important and Eastwest traffic is so much more imminent that we literally need to do it at the hardware level in order to remain very, very efficient. And so that's the second tailwind that we're seeing. However, to be transparent about that.

Q - Todd Weller {BIO 1915304 <GO>}

Are you ready to go, Kathleen.

A - Nadav Zafrir {BIO 19195881 <GO>}

That is that is something that we're seeing in a little bit of a further future. So 2027, we need to start seeing that.

A - Kip Meintzer {BIO 17934036 <GO>}

All right. Thanks, Todd. Next up is Adam Tindle followed by Shaul Eyal.

Q - Adam Tindle {BIO 19131809 <GO>}

Hey, thanks 8

Q - Shaul Eyal {BIO 3467274 <GO>}

Kim., I wanted to ask on the business outlook. You're reiterating the fiscal year guidance this year. And if I backed into the implied Q4, you're going to need to do about an $800 million revenue quarter at the midpoint of guidance. And I was going back through the model, I've never seen that. That would be a record quarter. You also mentioned earlier that guidance doesn't take the ramp into consideration. So I know it's more of a really question on guidance, but I wanted to hear from you the debate oversetting that expectation today and what markers you're looking at for Q4. And Rowie, any comments that you could give us on billings? I know we kind of lost track. We were thinking 6% to 7% for the year entering the year. We've got this very difficult comp in Q3 that I think some are struggling to model. So just correct us a little bit on the billings trajectory as well. Thanks, guys. Roei, you want to say -- you want to start?

A - Roei Golan {BIO 23171144 <GO>}

I'll start. Yes, so definitely all right in terms of the calculation for Q4, it's around 6.5% growth for Q4 in order to meet the be in the midpoint. I mentioned during my script that we do expect to be back to positive growth in-product revenues. I remind you, the main headwind that we see today on our revenues and the decline in revenues is coming from the product revenues, which declined this quarter for 14%, expecting to be similar levels in Q3. And in Q4, we are expecting to be back to green to be to be positive in-product.

So that's one aspect that definitely is -- and I remind you also that Q4 is a more product-driven quarter, the portion of product out-of-the total revenues is bigger than any other quarter in deal. So that's one aspect. And again, I think that when we are looking on the funnel for Q4, I know that it's a -- it's much higher than what we -- what we guided for Q3. I mean this growth, but when we are looking on the -- on the on the funnel, on the qualified deals, I'm talking about qualified deal, I'm not talking about now potential a potential staff. We do see much better a funnel, much better pipeline for Q4.

And again, we went through with our sales leader on all the large deals, everything is -- and again, some of them are deals that have been pushed from Q3 to Q4 that again is expected to be pushed because there might be some that will be -- will be placed in Q3, but Q3 is more tricky because of the summer. So we took a more conservative view approach that some of this significantly will be pushed to Q4. So definitely, it's a high bar in terms of Q4, but when I'm looking on the internal metrics, there is the support for that. And you asked about the billing.

So you're right, when we started -- I'm not giving any guidance for billing, but I was asked about billing for the year, when we started the year, it was midpoint -- mid-single digit. We talked about 5%, 6%. When we came back on May, we told -- again, because of the higher disruption that we did see, it's resulted more back-end loaded deal and we do see it in the numbers for Q2. And when I'm looking on H2, I don't want to give any specific guidance, but definitely, I do see much better billings in Q4 in terms of growth. Q3, you are right that the comparables are tougher.

And so there might be -- so -- as we said, Q3 is going to be -- might be more challenging with billing. But Q4, definitely we are expecting again if we are looking on the funnel on large deals and definitely we expect to be a strong bidding quarter.

A - Nadav Zafrir {BIO 19195881 <GO>}

Yeah. Just to add to that, Adam, I remember that when we spoke in our last earnings, we were very transparent about the reorg that we did in our go-to-market org. And that's going according to plan. And so that's why we think Q3 is the trough and when we look at what's happening on in the future in Q4, we're like we said, we're seeing a much better outcome and that's why we are maintaining on the guidance. With regards to the hiring, the reason we're not taking that into consideration is the natural ramp-up, right?

So it's the second phase. And in fact, when you think about it, now because this is a company-wide effort and many of our folks beyond selling need to recruit and onboard. And so actually, we're not going to see the impact of the hiring in 2026. We are only going to see the impact of the hiring in 2027, right? So some of it in Q1 and hopefully more of it in Q2, but it's the prudent thing to do and it's a part of the plan and a part of the strategy that we spoke about last-time. So -- and for us, hiring hundreds of new sellers is obviously a great investment and we're investing in our future.

So last year, we spoke about hiring about 500 new R&D folks to start doubling down on the future products for the AI era. Now we feel we're ready with some of the products. We've done the reorg and we're ready to ramp-up. But as you said, that's only going to have an impact in 2027. Just one more comment about billing, Adam. I think it's important to say. I understand that you are following billing, it's important for cash-flow and stuff, but it's not the only metric that we are care.

We are looking on new business. We are looking on RPO, which is I mentioned it today with bookings. I can give you an example, this quarter the billing was affected. I didn't mention discrete, but because I -- again, I thought it's not -- I probably would be asking about it. But again, the billing this quarter affected, for example, from large deal -- large deal that was renewed, it's not only renewal, it's renewal annual business that last year we built annually and this year we build quarterly deals alone have an effect of two points on our billing this quarter, just moving from annually to quarterly.

And we are flexible with that. I mean, it's a large deal, very large deal with new business. You don't see it in the billing because we are billing it quarterly. We approved -- I approved the quarterly billing on that perspect on that aspect. But again, if we would bid it annually, probably our billing will look much better for this year, but it wouldn't change the fact that our RPO grew by 7%. So I totally understand the importance of billing and give you some kind of prediction of what's going on in the business. But definitely, it's not the only metric that we are following.

A - Kip Meintzer {BIO 17934036 <GO>}

Alright guys thank you Adam next up is Shaul Eyal and that'll be followed by Shrenik Kothari from Baird.

Q - Shaul Eyal {BIO 3467274 <GO>}

Hi, good afternoon guys. Maybe or not still double clicking on this headcount. When we're saying hundreds of new people, what is it, 200, 300 and how do you think about it geographically from that perspective.

A - Nadav Zafrir {BIO 19195881 <GO>}

Yeah. So I'll start, you can -- you can chime in. When we say hundreds, yes, we're talking about by the end-of-the year, we need to hire approximately for our go-to-market of a headcount of about 300 more individuals. When you look at it from a percentage perspective, it's a meaningful percentage at our size.

When you think about it geographically, honestly, it's pretty, you know, globally spread. So I wouldn't say that it's just one area. The America, Western Europe, a little bit more, but it's -- but it's across the globe APAC, et cetera. Some of it is at the -- at the frontline sellers, what we call the generalists and -- but also specialists. So for example, we spoke about AI. We're seeing the funnel growing very substantially. In some cases, we just don't have the people out there that can actually go out to customers and do the POCs and so we have to ramp-up that very, very fast.

Obviously, getting -- just getting the heads is not enough. We need to get the right people on-board that are also ready for this future generation of buyers and the new paradigm that's emerging. And so it's an opportunity, not just to get more headcount, but also to revitalize and get new blood into the system. And that's exactly what we're doing. It's a company-wide effort. Again, we are within -- we launched a campaign and we hope to be able to be able to get to the right people that want to join us for this ride. Thank you. All right.8

A - Kip Meintzer {BIO 17934036 <GO>}

Next up is, followed by Joshua Tilton.

Q - Joshua Tilton {BIO 18420258 <GO>}

Hey, thanks for taking my question. So totally understand the internal execution disruption around go-to-market. But just on your specific comments on firewall appliance demand softer than you expected, right? And some of the peers are seeing stronger firewall demand, yeah, infrastructure-driven product growth. So just, and Roei, can you help unpack that a bit? Like what are your customers actually doing? Are they extending the useful Life without right now? Are they shifting focus towards more AI-centric enforcements, which is sort of elongating cycles. Just are these pushes primarily rep transition driven or are customers fundamentally reevaluating the scopes and the architecture in the AI era as well.

A - Nadav Zafrir {BIO 19195881 <GO>}

Roei you want to start? 8

A - Roei Golan {BIO 23171144 <GO>}

I'll start. So I think it's a combination training. I think it's a combination of first, I think internal disruption that's affecting our execution that again our execution in Q2, I mean, we've seen the numbers was not what we wanted in the big when we started the deal. But I would say it's a combination of internal disruption and definitely also behavior of customers that I think again some of them we are looking on the memory cost. It's something that I'm spending significant part of my time for to find a way to make sure that we have enough inventory to give to it.

By the way, it's not only for appliances, it's also for internal users. And so again, probably it's a combination. I don't -- I don't think it's clear -- there is no clear answer for that. But definitely when I'm looking and I think it's mainly -- when I'm looking on our business, I think it's mainly internally and mainly internally because I'm looking on the funnel, I'm looking on deals, I'm looking at our go-to-market being stabilized and I'm looking that we are -- now we have very interesting opportunities, qualified opportunities that allocated in second-half of the mainly in Q4 that makes us feel more positive that it's more internal and less less externally. Yeah, I would say that the demand is there, right?

A - Nadav Zafrir {BIO 19195881 <GO>}

We're seeing it. You're seeing it with our competition as well. That's why we're so excited about the announcement of the AI network firewall on today. The unified management that we're coming out with and hopefully, the fruits of a lot of investment that we put into this in the last couple of years will start to show. And then the optimism comes from what we see already in Q4 and that's why we're doubling down also to get ready for a higher-growth in 2027. Having said all that from the customer's perspective, look, I think that a top-of-mind for them right now is like I said, first of all, goback-to-basics and fundamentals on this era calls for patching at an unprecedented pace.

That's just one example. And so we're also building the capabilities to do that with them and for them, not just for our own products, but again, we have to have the total security in mind. They're also getting a lot of pressure from the executives and the Board to adopt AI, whether it's to allow employees to use it or new applications and agents that are now running within the -- so it is a transition time. What I believe is that it calls for us to continue doing what we've always done, which is prevention first, but at the same time really changing the industry.

And that's both on the network level with the AI network file and the new unified management, but at the same time combining that with our workspace, our CTEM, our AI defense plane and going-forward, probably more capabilities that we will need to add to this in order to build this open platform that our customers can rely on for their secure AI transformation.

A - Kip Meintzer {BIO 17934036 <GO>}

All right next up is Joshua Tilton followed by Junaid Siddiqui.

Q - Joshua Tilton {BIO 18420258 <GO>}

Hey guys can you hear me?

A - Kip Meintzer {BIO 17934036 <GO>}

Yep. Yeah.

Q - Junaid Siddiqui {BIO 2550137 <GO>}

Just-for-you, Kip. Appreciate it. Maybe a quick clarification and then my actual question. On the clarification side, maybe this is for Roy, but I understand you're reiterating the full-year outlook and you guys are confident in what it implies for Q4. But I guess what I'm trying to understand is, when you think about what is implied on a quarterly basis, is this how you expected it to play-out when you first took guidance down 90 days ago? Or did something change between now and then that we're pointing to a much stronger Q4? 8

And then maybe just a follow-up and my actual question for Nadav is, what happens when we get past the disruption from this year, you ramp hundreds of salespeople, all these products are on fire, everybody needs to replace their car in firewall with an AI firewall, like what is the durable growth profile that we should be expecting when we move past the disruption sales ramps and all the sexiness around some of these newer -- newer products starts to really come through the model?

A - Nadav Zafrir {BIO 19195881 <GO>}

Yeah, I'll start and then can take it. So regarding the guidance, so when we gave the guidance in May, so actually, we did expect slight improvement in the third-quarter in terms of appliances. I mentioned during my -- when in my presentation that we did see -- we do expect more deal that will be pushed from Q3 to Q4, mainly on appliances that affecting not just appliances revenues, but also support and subscription revenues because they haven't attached its bundling and they have an attached revenues of subscription and support to every -- every client deal.

And so I would say that the expectation in the beginning back-in May that Q4 will be slightly better, slightly better, not significantly better, slightly better in Q4. So that's -- but because of the deal being that we are expecting now to be pushed from Q3 to Q4, that's that's how we are well projecting now going-forward, looking at 2027 and beyond. From a general perspective, I think the security demand will continue to grow.

Because we're between two paradigms, I think that we will see meaningful changes over the next couple of years and we need to get ready for that. Our vision of securing the AI transformation through an open platform means that we have a lot of integration to do, for example, between the network and the continuous threat exposure management. There's a lot of integration that we need to do between workspace and AI.

So there's a long roadmap ahead of us. And at the same time, we also have to keep our eyes wide-open to what's out there from the emerging start-up community that is doing some very exciting things and we're looking at that. I -- the combination of that vision and strategy that we're starting to see the fruits of with the stabilization of the go-to-market and the hiring of new people obviously makes us optimistic.

And you know, I think that the hit that we took on -- will position us for a better outlook going-forward. Obviously, I don't -- we're not giving guidance now for beyond that. It's not a -- it's not a short journey. This is a company that has been around for from the beginning of cybersecurity history. We need to build it for the next decades. It's a process, it's a journey and I think that we're seeing it going according to plan right now and hopefully more good things to come.8

A - Kip Meintzer {BIO 17934036 <GO>}

All right. Next up is Junaid Siddiqui followed by Saket Kalia.

Q - Junaid Siddiqui {BIO 2550137 <GO>}

Thanks, Kip. You've previously indicated SASE still around 12 to 18 months away from supporting your largest enterprise customers at the scale that you envision. What milestones should we be watching over the next year? And how close are you to being able to compete for the same global deployments targeted by the market leaders.

A - Nadav Zafrir {BIO 19195881 <GO>}

Yeah, thanks for that, Junaid. So yeah, SASE is an integral part of our hybrid mesh proposition and part of the platform. We are now at a point where in terms of capacity, we're already ready for the enterprise-level and integrating SASE into our unified management as we as we speak. I think we already have a proposition that in some aspects is best-in-class. So for example, we have the base latency with our hybrid device architecture. It's fast and easy to deploy and manage.

And so I think we're ready to go bigger with our -- with our SASE and this is the time to do it. And so we're focused on it. We have a very strong and capable R&D team as a part of the hiring that we're doing is focused specifically on specialists that will go out and do this. And more important than anything than anything is to put that as part of the platform. So connected to the firewheel through our hybrid mesh management so that our customers can push their policy both to the SASE remote access, Internet access within the firewall, integrate that into our AI defense plane. There is a lot of work to do there, but we've made a lot of progress and we're ready To go bigger as I indicated before.

A - Kip Meintzer {BIO 17934036 <GO>}

All right. Thanks, Junaid. Next up is Saket Kalia, followed by Eric Heath, who will most likely be our last caller today.

Q - Saket Kalia {BIO 16417197 <GO>}

Great. Hey guys, thanks for taking my question here. Roei, maybe for you. I'd love to dig into the sales investment just from a financial perspective, right? I'm sure that we can all take a shot at the financial impact of hiring 300 additional resources. And just to be clear, that sounds like it's the right thing to do to invest for growth. Not necessarily looking here for guide for next year, but I want to make sure it's asked, is there any way that you want us to think about the margin impact of that investment, understanding that it's short-term pain for long-term gain.

A - Roei Golan {BIO 23171144 <GO>}

I would say that first of all, the hiring impact will be less for this year because it's going to be mainly for next year, the hiring. But I would say for next year margin, I would wait with it for the next calls because we have actually we have the next week we have our -- we are kick-off our planning for next year -- for next year for 2027. And I don't want to now to give you anything because it's still very in early stages. So I would say let's wait with that for the next call regarding margin for next year.

Q - Saket Kalia {BIO 16417197 <GO>}

Totally get it. Thank you.

Q - Eric Heath {BIO 19770692 <GO>}

All right. Next up is Eric Heath. Thanks, Kip. Roei, Nadav, maybe just to come back one more time to the 3Q, 4Q seasonality. So can you just put a finer point of what changed since last quarter in terms of why you're expecting deals to push? Is this internal execution just giving you a little bit more prudence? Or is there something changing on the customer behavior side that maybe changed in the last 90 days? Thanks.

A - Nadav Zafrir {BIO 19195881 <GO>}

I think it's less -- it's less. I think it's more -- again, we've done -- we've done a very thorough analysis or going through our pipeline for Q3 and Q4. I think we have, I would say, more -- a bit prudent approach about Q3. We are taking a more product approach in terms of deals that being going to be pushed from Q3 to Q4. I'm taking it because Q3 is usually a tricky quarter because of the summer. People are on vacations, holidays and are back to work only on September.

So we are taking more prudent approach. But definitely, I think we do see improvement and more stabilization in our go-to-market and therefore, I think we are going to this iron campaign that we feel confident with expanding our go-to-market now after it being stabilized after the disruption that we had in the first -- in the first-half of the year. you want to add something around it or? No. Again, H2 back-end loaded, so a lot writing on Q4. It's about having a better execution and making sure that we have the right headcount and the right people as we go into 2027. As said, that's what we're starting to plan for now.

A - Kip Meintzer {BIO 17934036 <GO>}

All right, everybody. That's going to conclude today. We thank you all for showing up and participating and we'll be seeing you shortly hereafter in the analyst calls and the rest of you that are following us today. We'll see you throughout the quarter. Thank you, and have a great day guys. Bye-bye. Thank you.
